

GALLANT IAS ACADEMY

PRELIMS CUM MAINS BATCH 2027

POLITY

MODULE 2.5

PARLIAMENT - ARTICLES 112-123

Article 112: Annual Financial Statement (Budget)

The **President** shall, in respect of every financial year, cause to be laid before both Houses of Parliament a statement of the estimated receipts and expenditure of the Government of India for that year, referred to as the "**annual financial statement**". The statement has to show separately the sums required to meet expenditure described by the Constitution as expenditure charged upon the **Consolidated Fund of India**, and the sums required to meet other expenditure proposed to be made from the Consolidated Fund of India. It also distinguishes between revenue expenditure and other expenditure.

The **Budget Division of the Department of Economic Affairs**, under the Ministry of Finance, is the nodal agency responsible for preparing the Budget. An **Interim Budget** is presented in the last year of a government's term (or during a transition), and by convention, major policy reforms are not announced in it.

Expenditure charged on the Consolidated Fund of India

The following are treated as charged expenditure and are not put to vote:

- The emoluments and allowances of the President and other expenditure relating to his office
- The salaries and allowances of the Chairman and Deputy Chairman of the Council of States and the Speaker and Deputy Speaker of the House of the People
- Debt charges for which the Government of India is liable, including interest, sinking fund charges and redemption charges, and other expenditure relating to raising loans and the service and redemption of debt
- The salaries, allowances and pensions payable to or in respect of Judges of the Supreme Court
- The pensions payable to or in respect of Judges of any High Court exercising jurisdiction over any area within the territory of India
- The salary, allowances and pension payable to or in respect of the Comptroller and Auditor-General of India
- Any sums required to satisfy any judgment, decree or award of any court or arbitral tribunal
- Any other expenditure declared by the Constitution or by Parliament by law to be so charged

Article 113: Procedure in Parliament with regard to estimates

With regard to **charged expenditure**, no voting is carried out - only discussion takes place. With regard to other expenditure, it is submitted in the form of a **demand for grants**, and no demand for a grant shall be made except on the recommendation of the **President**.

Stages of enactment of the Budget

- Presentation of the Budget - first in the Lok Sabha, and then laid before the Rajya Sabha
- General Discussion - no cut motions are moved at this stage, and the Finance Minister replies at the end
- Scrutiny by the 24 Department Related Standing Committees
- Voting on Demand for Grants - cut motions are moved during this stage
- Passing of the Appropriation Bill
- Passing of the Finance Bill

Types of Cut Motions

Type of Cut Motion	Effect
Policy Cut Motion	Represents disapproval of the policy underlying the demand; the amount of the demand is reduced to Re 1
Economy Cut Motion	Seeks to reduce the amount of the programme; the amount to be reduced is specified

Type of Cut Motion	Effect
Token Cut Motion	Ventilates a specific grievance within the sphere of the government's responsibility; the amount of the demand is reduced by Rs 100

Under the **Provisional Collection of Taxes Act, 2023**, the government obtains Parliament's authority to provisionally levy and collect newly imposed or increased customs and excise duties for up to **75 days** from the date the Finance Bill is introduced, pending the Bill's passage.

Article 114: Appropriation Bills

After the demands for grants are accepted by the Lok Sabha, an **Appropriation Bill** is introduced to authorise the withdrawal of the required sums from the Consolidated Fund of India. Money cannot be withdrawn from the Consolidated Fund until the Appropriation Bill is passed.

Article 115: Supplementary, Additional or Excess Grants

Type of Grant	When it applies
Supplementary Grant	Granted when the amount authorised by Parliament through an Appropriation Act for a particular service in the current financial year is found to be insufficient
Additional Grant	Granted for additional expenditure upon a new service not contemplated in the budget for that year
Excess Grant	Granted when money has already been spent on a service during a financial year in excess of the amount granted for that service in the budget; it must be approved by the Public Accounts Committee before being submitted to the Lok Sabha

Article 116: Vote on Account, Vote of Credit, Exceptional Grant

Mechanism	Description
Vote on Account	Allows roughly one-sixth of the budgeted expenditure (broadly corresponding to about two months' spending) to be sanctioned in advance, pending passage of the full Budget
Vote of Credit	Granted to meet an unexpected demand upon the resources of India, functioning as a blank cheque given to the Government
Exceptional Grant	Granted for a special purpose and forms no part of the current service of any financial year

Article 117: Financial Bills

Parliament, while considering the Finance Bill, can reduce or abolish a tax proposed in it, but cannot increase it, since the imposition or increase of a tax requires the prior recommendation of the President.

Article 118: Rules of Procedure

Each House of Parliament can make rules to regulate its own procedure and the conduct of its business. For a **joint sitting**, the rules are set by the President, in consultation with the Chairman of the Council of States and the Speaker of the House of the People.

Article 119: Regulation by law of procedure in Parliament in relation to financial business

Parliament may, by law, regulate the procedure and conduct of business in each House with respect to financial matters, or in relation to any matter connected with the demands for grants and the framing of the Budget.

Article 120: Language to be used in Parliament

- Business in Parliament is to be transacted in Hindi or in English
- The Speaker (or the Chairman) may permit a member who cannot adequately express themselves in either language to address the House in their mother tongue

Article 121: Restriction on discussion in Parliament

No discussion shall take place in Parliament with respect to the conduct of any Judge of the Supreme Court or of a High Court in the discharge of their duties, except upon a motion for presenting an address to the President praying for the removal of the Judge.

Article 122: Courts not to enquire into proceedings of Parliament

The validity of any proceedings in Parliament shall not be called in question on the ground of any alleged irregularity of procedure. No officer or member of Parliament in whom powers are vested for regulating procedure, conducting business, or maintaining order in Parliament shall be subject to the jurisdiction of any court in respect of the exercise of those powers.

Article 123: Power of the President to promulgate Ordinances

At any time when both Houses of Parliament are not in session, the President may promulgate an ordinance as the circumstances appear to require. An ordinance so promulgated has the **same force and effect as an Act of Parliament**. It ceases to operate at the expiry of **six weeks** from the reassembly of Parliament, unless resolutions disapproving it are passed by both Houses before that period expires; it can also be withdrawn by the President at any time before then.

The ordinance-making power is not a parallel law-making power - the President can promulgate an ordinance only on a subject on which Parliament is competent to legislate. If an ordinance lapses, action already taken under it while it was in force remains fully valid.

Misuse of the Ordinance route

Repeated **re-promulgation** of ordinances, without placing them before Parliament for enactment into law, subverts the authority of the legislature.

- **DC Wadhwa vs State of Bihar (1987)** - the Supreme Court held that re-promulgation of ordinances, as a substitute for legislation, is a fraud on the Constitution
- **Example:** the Commission for Air Quality Management Ordinance, 2020, which lapsed in March 2021 and was re-promulgated in April 2021

The overuse of the ordinance route in this manner leads to democratic backsliding.

Safeguards

- The President cannot issue an ordinance to amend the Constitution
- **RC Cooper vs Union of India (1970)** - while holding that the President's satisfaction under Article 123 is subjective, the Court held that the exercise of the ordinance-making power can nonetheless be challenged on grounds of bad faith or mala fide

Way ahead

- Suggestions for reform include shortening the window within which an ordinance must be laid before Parliament after its reassembly, so as to subject it to legislative scrutiny sooner.

PRELIMS PRACTICE QUESTIONS (PYQS)

- With reference to the Union Budget, consider the following statements:
 - The Union Finance Minister, on behalf of the Prime Minister, lays the Annual Financial Statement before both Houses of Parliament.
 - At the Union level, no demand for a grant can be made except on the recommendation of the President of India.
 Which of the statements given above is/are correct?
 - 1 only
 - 2 only
 - Both 1 and 2
 - Neither 1 nor 2
- Consider the following statements:
 - The Rajya Sabha has no power either to reject or to amend a Money Bill.
 - The Rajya Sabha cannot vote on the Demands for Grants.
 - The Rajya Sabha cannot discuss the Annual Financial Statement.
 Which of the statements given above is/are correct?
 - 1 only
 - 1 and 2 only
 - 2 and 3 only
 - 1, 2 and 3

3. With reference to the Union Government, consider the following statements:
1. The Department of Revenue is responsible for the preparation of the Union Budget that is presented to the Parliament.
 2. No amount can be withdrawn from the Consolidated Fund of India without authorisation from the Parliament of India.
 3. All disbursements made from the Public Account also need authorisation from the Parliament of India.
- Which of the statements given above is/are correct?
- (a) 1 and 2 only (b) 2 and 3 only (c) 2 only (d) 1, 2 and 3
4. What is the difference between “vote-on-account” and “interim budget”?
1. The provision of a “vote-on-account” is used by a regular Government, while an “interim budget” is a provision used by a caretaker Government.
 2. A “vote-on-account” only deals with the expenditure in the Government's budget, while an “interim budget” includes both expenditure and receipts.
- Which of the statements given above is/are correct?
- (a) 1 only
(b) 2 only
(c) Both 1 and 2
(d) Neither 1 nor 2
5. The authorisation for the withdrawal of funds from the Consolidated Fund of India must come from
- (a) The President of India
 - (b) The Parliament of India
 - (c) The Prime Minister of India
 - (d) The Union Finance Minister
6. Which of the following are the methods of Parliamentary control over public finance in India?
1. Placing the Annual Financial Statement before the Parliament
 2. Withdrawal of money from the Consolidated Fund of India only after passing the Appropriation Bill
 3. Provisions of supplementary grants and vote-on-account
 4. A periodic or at least a mid-year review of the programme of the Government against macroeconomic forecast and expenditure by a Parliamentary Budget Office
 5. Introducing the Finance Bill in the Parliament
- Select the correct answer using the codes given below:
- (a) 1, 2, 3 and 5 only (b) 1, 2 and 4 only (c) 3, 4 and 5 only (d) 1, 2, 3, 4 and 5
7. When the annual Union Budget is not passed by the Lok Sabha
- (a) the Budget is modified and presented again
 - (b) the Budget is referred to the Rajya Sabha for suggestions
 - (c) the Union Finance Minister is asked to resign
 - (d) the Prime Minister submits the resignation of the Council of Ministers
8. With reference to the Indian polity, consider the following statements
1. An Ordinance can amend any Central Act.
 2. An Ordinance can abridge a Fundamental Right.
 3. An Ordinance can come into effect from a back date.
- Which of the statements given above are correct?
- (a) 1 and 2 only (b) 2 and 3 only (c) 1 and 3 only (d) 1, 2 and 3